Financial Goals 2026

Small/Medium University | Governance thresholds for automated financial analysis

Purpose: provide measurable, machine-readable financial goals against which monthly and annual reports can be validated, compared, and explained. All financial calculations remain deterministic; AI-generated analysis should interpret the results without recalculating them.

Executive Overview

The university will balance academic investment with disciplined cost control and liquidity protection. Leadership will prioritize tuition collection, payroll sustainability, department accountability, and early identification of unusual transactions. Exceptions require documented review, not automatic rejection.

Core Annual Goals

Area	FY2026 Goal	Measurement and Action
Annual revenue	$26.0 million budget; achieve at least 98% of total revenue target	Compare actual revenue with approved budget monthly and year-to-date.
Expense control	Keep total operating expenses at or below approved budget	Investigate material unfavorable category and department variances.
Payroll cost	Below 42% of total revenue	Flag when monthly or year-to-date payroll ratio is 42% or higher.
Tuition collection	Collection rate above 94%	Amount paid divided by amount due; review aging and payment plans.
Scholarships	Deploy 95%-100% of approved allocation	Protect access goals while avoiding unapproved over-allocation.
Cash reserve	At least 3 months of operating expenses	Ending unrestricted cash divided by average monthly operating expense.

Department Budget Variance Thresholds

Department leaders are accountable for approved budgets and documented corrective action. Normal operating tolerance is within +/-8% of budget. A variance between 8% and 12% is a watch item. More than 12% overspending is a mandatory financial risk flag.

Variance	Classification	Required Response
Within +/-8%	Acceptable	Monitor through standard monthly reporting.
8% to 12% overspend	Watch	Department explanation and near-term forecast update.
>12% overspend	Flag	Immediate review by Finance; corrective action and approval assessment.

Revenue and Tuition Collection Goals

Revenue reporting must separate tuition, research grants, service fees, donations, and other revenue. Tuition performance is measured against both billed value and cash collected. The annual tuition collection rate must exceed 94%, while overdue payments must remain below 6% of open and issued student invoices.

Expense and Payroll Cost Goals

Operating expense analysis must compare budget and actual values by month, department, and expense category. Payroll includes base salary, benefits, and overtime. Payroll must remain below 42% of total revenue, and unusual overtime or month-over-month changes require explanation.

Scholarship Allocation Goals

Scholarship reporting must reconcile approved allocation, awarded value, remaining balance, and recipient count by department and scholarship type. The target utilization range is 95%-100% by year-end. Awards may not exceed the approved allocation without formal authorization.

Cash Reserve Goals

The university will maintain unrestricted cash equal to at least three months of average operating expenses. Monthly cash flow reporting must reconcile beginning cash, inflows, operating outflows, scholarship disbursements, capital outflows, net cash flow, and ending cash. Negative variance to the cash plan requires commentary.

Risk Monitoring Rules

Rule	Threshold	Flagging Standard
Department overspending	More than 12% above budget	High-priority department variance flag.
Vendor payment	Above $50,000	High-value transaction review; validate approval and support.
Duplicate payment	Same vendor + invoice + amount	Critical exception; investigate before next payment cycle.
Expense acceleration	Month-over-month increase above 10%	Identify category, department, and business driver.
Overdue student payments	6% or more	Collection risk flag and aging review.
Payroll ratio	42% or more of total revenue	Cost sustainability flag.
Cash reserve	Below 3 months	Liquidity flag with cash recovery plan.

Monthly Reporting Standards

Standard	Requirement
Reporting deadline	Issue the management report within 10 business days after month-end.
Required comparisons	Actual vs budget, variance dollars, variance percent, prior month, and year-to-date context.

Standard	Requirement
Required dimensions	Department, revenue/expense category, vendor, payroll component, and student payment status.
Reconciliation	Revenue, expenses, payroll, scholarships, vendor payments, and cash flow must tie to their reported totals.
Exception commentary	Every high or critical flag must identify cause, owner, response, and expected resolution date.
Data quality	No missing reporting periods, duplicate identifiers, unexplained negative values, or unresolved total mismatches.

Approval and use: These goals are synthetic project inputs designed to exercise the Finance AI Agent's deterministic calculation, anomaly detection, and report interpretation workflows.